

UNIVERSITY OF SOUTH CAROLINA
Management's Discussion and Analysis
(Unaudited)

ECONOMIC OUTLOOK

The economic position of the University remains robust as evidenced by consistent operating revenue growth, strong demand for enrollment, and stable, manageable changes in operating expenditures. As a state-supported higher education institution, the University's economic position is closely tied to the State of South Carolina. The State finished the 2024 fiscal year on a very positive note with full funding of the State's Rainy-Day Fund at 5.5 percent of the prior year's General Fund Revenues and fully funded the Capital Reserve Account at 3 percent of the prior year's General Fund Revenues.

South Carolina's unemployment rate was 3.6 percent at the end of June 2024, which was 0.5 percent higher than June 2023. The national average was 4.1 percent and South Carolina ranked 23rd, compared to other states, per the U.S. Bureau of Labor Statistics. According to the Economic Outlook, published by the South Carolina Department of Commerce, trends in non-farm jobs continue to be positive for the state with the most recent increase in June totaling 8,500, with the largest gains in leisure and hospitality services and trade, transportation, and utilities.

The University's overall financial position remains strong and stable. For fiscal year 2025, the University has received additional state funding to support academic initiatives that promote access and affordability through tuition mitigation for residents of South Carolina and continued funding to support the maintenance and capital needs of our campuses. The University relies on tuition and fees to support the general operating budget, with added state support for tuition mitigation for fiscal year 2024. For fiscal year 2024, the University of South Carolina did not have a tuition increase. An average increase of 5.3 percent in student housing and 5.3 percent in dining plans will be used to improve dining, housing, and student life facilities.

Student interest in the University remains strong and demand for enrollment continues to grow, with a record number 52,708 applications received for the Fall 2024 freshman class, an increase of 13% over last year's record. Preliminary data indicates approximately 9,200 new undergraduate students on the Columbia campus, of which 7,290 are new freshmen, the second largest freshman class in University history. Student success is also at an all-time high, with a freshman to sophomore retention rate climbing to 92% for the first time. As a result of these gains, overall enrollment for the Columbia campus stands at 38,353, the highest ever in University history, and for the University System at 55,332. Both are increases of over 5% from last Fall 2023's record enrollment highs for Columbia and the USC System.

University of South Carolina students from the state are eligible for tuition assistance based on entrance exams, rank in class, and GPA. The State funding commitment for merit scholarships remains strong with funding from the South Carolina Education Lottery. Students at the University campuses annually receive more than \$116.8 million across the different scholarship programs.

The University is classified as an R1 University by the Carnegie Classification for Institutions of Higher Education. Research grant awards were \$309.4 million in the 2024 fiscal year. Awards in fiscal year 2025 are up 4% to date and are estimated to surpass 2024.

The University's Columbia campus makes up approximately 96.0 percent of total research awards or approximately \$296.7 million. University researchers were particularly successful in competing for federal research funds, which totaled \$245.4 million in fiscal year 2024.

The University's total endowment is currently \$835.0 million, with \$710.2 million held by the University Foundations. The endowment is comprised of a mix of unrestricted funds, quasi endowed, term endowed, and permanently endowed funds.

UNIVERSITY OF SOUTH CAROLINA
Statement of Net Position
As of June 30, 2024

ASSETS

Current assets:

Cash and cash equivalents	\$ 1,110,538,184
Restricted - cash and cash equivalents	516,224,256
Accounts receivable, net	107,691,276
Inventories	2,667,512
Prepaid items	1,683,460
Funds due from others	1,548,751
Total current assets	1,740,353,439

Noncurrent assets:

Restricted - cash and cash equivalents	88,065,133
Investments	4,957,294
Accounts receivable	87,997,605
Prepaid items	1,200,000
Restricted - federal student loans receivable	5,024,917
Capital assets, net	1,623,668,878
Other assets	1,468,063
Total noncurrent assets	1,812,381,890
Total assets	3,552,735,329

DEFERRED OUTFLOWS OF RESOURCES

Deferred loss on debt refunding	11,348,800
Deferred outflows related to net OPEB liability	224,083,286
Deferred outflows related to net pension liability	143,512,601
Total deferred outflows of resources	378,944,687

LIABILITIES

Current liabilities:

Accounts payable	28,297,427
Retainage payable	1,500,696
Accrued interest payable	5,143,401
Accrued payroll and related liabilities	40,967,760
Accrued compensated absences - current portion	33,605,109
Lease and subscription obligations - current portion	9,690,024
Bonds and notes payable - current portion	36,854,490
Unearned revenues	63,239,852
Deposits	2,720,078
Other liabilities	870,939
Funds held for others	7,748,829
Total current liabilities	230,638,605

Noncurrent liabilities:

Accrued compensated absences	9,610,143
Federal loan liability	5,703,329
Lease and subscription obligations	28,641,611
Bonds and notes payable	664,259,488
Net OPEB liability	780,312,925
Net pension liability	1,033,430,779
Total noncurrent liabilities	2,521,958,275
Total liabilities	2,752,596,880

UNIVERSITY OF SOUTH CAROLINA
Statement of Net Position
As of June 30, 2024

DEFERRED INFLOWS OF RESOURCES

Deferred gain on debt refunding	10,388,883
Deferred inflows related to leases	51,576,056
Deferred inflows related to public private partnerships	28,099,199
Deferred inflows related to net OPEB liability	469,224,968
Deferred inflows related to net pension liability	11,342,855
Total deferred inflows of resources	570,631,961

NET POSITION

Net investment in capital assets	898,035,384
Restricted for:	
Nonexpendable	91,291,623
Expendable	
Scholarships, research, instruction, and other	106,365,496
Loans	958,853
Capital projects	452,190,040
Debt service	4,405,359
Unrestricted	(944,795,580)
Total net position	\$ 608,451,175

UNIVERSITY OF SOUTH CAROLINA
Statement of Revenues, Expenses and Changes in Net Position
For the year ended June 30, 2024

OPERATING REVENUES

Student tuition and fees (\$36,993,102 pledged for bonds)	\$ 942,698,199
Less: scholarship allowance	(361,872,634)
Federal grants and contracts	189,966,066
State grants and contracts	163,200,298
Local grants and contracts	1,285,371
Nongovernmental grants and contracts	62,344,760
Sales and services of educational and other activities	36,982,599
Sales and services of auxiliary enterprises (\$36,068,765 pledged for bonds)	234,541,774
Less: scholarship allowance	(9,864,612)
Interest collected on student loans	135,713
Other fees (\$6,543,057 pledged for bonds)	19,128,774
Other operating revenues	3,331,895
Total operating revenues	1,281,878,203

OPERATING EXPENSES

Salaries and wages	773,384,360
Fringe benefits	258,007,461
Services and supplies	443,503,282
Utilities	40,227,416
Scholarships and fellowships	48,806,255
Depreciation and amortization expense	118,543,827
Total operating expenses	1,682,472,601
Operating loss	(400,594,398)

NONOPERATING REVENUES (EXPENSES)

State appropriations	428,131,419
Local appropriations	3,334,698
Federal grants	61,079,458
Gifts	59,811,541
Investment income (loss)	19,981,279
Endowment income (loss)	4,405,884
Loss on disposal of capital assets	(5,276,259)
Interest on capital asset related debt	(27,363,586)
Net nonoperating revenues	544,104,434
Income before other revenues	143,510,036
State capital appropriations	88,462,659
Capital grants and gifts	50,596,879
Additions to permanent endowments	4,436,577
Change in net position	287,006,151

NET POSITION, BEGINNING OF YEAR

321,445,024

NET POSITION, END OF YEAR

\$ 608,451,175

UNIVERSITY OF SOUTH CAROLINA
Statement of Cash Flows
For the year ended June 30, 2024

OPERATING ACTIVITIES

Student tuition and fees	\$ 581,700,843
Grants and contracts	401,022,006
Sales and services of educational and other activities	37,076,087
Sales and services of auxiliary enterprises	246,049,732
Student loans disbursed	(405,327)
Student loans collected	1,206,383
Interest collected on student loans	135,713
Inflows from federal direct student loans	295,361,472
Outflows from federal direct student loans	(295,361,472)
Payments to employees for services	(763,859,255)
Payments to employees for benefits	(300,378,916)
Payments to suppliers	(480,788,868)
Payments to students for scholarships and fellowships	(48,806,255)
Other receipts	22,305,638
Inflows from funds due to and held for others	66,769,846
Outflows from funds due to and held for others	(71,530,645)
Net cash used by operating activities	<u>(309,503,018)</u>

NONCAPITAL FINANCING ACTIVITIES

State and local appropriations	430,628,877
Federal grants	61,164,960
Gifts	59,649,088
Additions to permanent endowments	4,436,577
Federal loan liability	(1,181,298)
Net cash provided by noncapital financing activities	<u>554,698,204</u>

CAPITAL AND RELATED FINANCING ACTIVITIES

State capital appropriations	164,661,951
Capital grants and gifts	735,072
Purchase and construction of capital assets	(86,427,127)
Principal paid on capital asset related debt	(58,052,336)
Interest paid on capital asset related debt	(30,516,128)
Lessor payments received	(1,102,167)
Net cash used by capital and related financing activities	<u>(10,700,735)</u>

INVESTING ACTIVITIES

Investment income	17,920,554
Endowment income	4,737,232
Net cash provided by investing activities	<u>22,657,786</u>
Net increase (decrease) in cash and cash equivalents	<u>257,152,237</u>

Cash and cash equivalents, beginning of year

1,457,675,336

Cash and cash equivalents, end of year

\$1,714,827,573

Reconciliation of cash and cash equivalents

Cash and cash equivalents	\$1,110,538,184
Restricted - cash and cash equivalents, current	516,224,256
Restricted - cash and cash equivalents, noncurrent	88,065,133
	<u>\$1,714,827,573</u>

UNIVERSITY OF SOUTH CAROLINA
Statement of Cash Flows
For the year ended June 30, 2024

**Reconciliation of net operating loss to net cash
used by operating activities**

Operating loss	(400,594,398)
Adjustments to reconcile operating loss to net cash used by operating activities:	
Depreciation and amortization expense	118,543,827
Student loans canceled	312,458
Change in current assets and liabilities:	
Accounts receivable, net	(10,870,730)
Student loans receivable	802,045
Inventories	513,694
Prepaid items	(60,279)
Accounts payable	2,193,121
Retainage payable	(17,164)
Accrued payroll	5,829,280
Accrued benefits	2,183,259
Accrued compensated absences	3,798,596
Unearned revenues	17,245,840
Deposits	39,860
Other liabilities	(106,913)
Accrued benefits related to net pension liability	(15,151,172)
Accrued benefits related to OPEB	(29,403,541)
Funds held for and due from others	(4,760,801)
Net cash used by operating activities	<u><u>\$ (309,503,018)</u></u>

NONCASH TRANSACTIONS

Gifts of capital assets reducing proceeds of capital grants and gifts	<u><u>\$ 52,824,231</u></u>
Net change in capital grants and gifts receivable, state capital appropriations and unearned revenues	<u><u>\$ 58,399,628</u></u>
Loss on disposal of capital assets, net	<u><u>\$ (5,276,259)</u></u>
Capital assets acquired through leases and subscriptions	<u><u>\$ 22,701,819</u></u>
Change in value of other assets for cash surrender value of life insurance recognized in endowment income	<u><u>\$ 109,498</u></u>
Change in value of investments recognized in endowment and investment income	<u><u>\$ (440,846)</u></u>
Proceeds paid on USC's behalf to refinance existing bonds payable	<u><u>\$ 20,015,000</u></u>